

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
FACULTY OF MANAGEMENT STUDIES (FMS)
BBA PROGRAMME

SEMESTER – I –UNIVERSITY EXAMINATION, MARCH 2018

BM102 FOUNDATION COURSE IN ECONOMICS (OLD)

BM102.1 FOUNDATION COURSE IN ECONOMICS (NEW)

Date: 27/03/2018, Tuesday

Time: 10.00 AM to 10.30 AM

Total Marks: 15

Student's ID No.									
Student's Name: _____									
Student's Sign : _____									
Supervisor's Name : _____									
Supervisor's Sign: _____									

Important Instructions:

- All questions are compulsory.
- This is a closed book examination.
- There are two sections in the question paper. Section – I contains Q. No.: 1 which is of 15 marks and Section – II contains total five questions wherein Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.
- Section – I should be answered in the given question paper and Section – II should be answered in a separate answer book.
- Maximum time allotted for Section – I is 30 minutes. Answer Book for Section – II will be given when the Question Paper for Section – I is returned. However, candidates who complete Section – I earlier than 30 minutes, can collect Answer Book for Section – II immediately after handing over Section – I question paper.
- Figures on the right indicate marks for each question.

SECTION – I

Q.1 Objective Type Questions:

A) Match the following: (i – vi)

15

06

Q. No.:		Probable Answer Keys		Write Your Answer Here
i.	Profit	a)	Standard of Living	i. -
ii.	Welfare	b)	GDP	ii. -
iii.	Wealth	c)	World Bank	iii. -
iv.	Income	d)	Capitalist Economy	iv. -
v.	Developing Economy	e)	Socialist Economy	v. -
vi.	Developed Economy	f)	Stock	vi. -
		g)	Flow	
		h)	India	
		i)	USA	
		j)	Mongolia	

B) Multiple-Choice Questions (vii – ix) (Note: Encircle the correct answer)

03

- vii.** Economics is concerned with all of the following except:
- a) allocation of scarce resources to produce goods and services
 - b) explaining what factors influence consumer behaviour
 - c) the construction of buildings in the economy
 - d) the factors that determine the goods that firms produce

viii. What is opportunity cost?

- a) the alternative foregone
- b) the choice made
- c) unlimited wants
- d) limited resources

ix. Which of the following item is good?

- a) Car
- b) Transportation of passengers
- c) Patch up of shoes
- d) None of above

C) Fill-in the Blanks (x – xii) You may choose from the following answers:

03

Scarcity	Abundance	Stability	Flexibility	Micro-economics	Macro-economics
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x. The fundamental economic problem faced by all societies is _____.

xi. _____ is likely to be greater in planned economy than mixed economy.

xii. _____ studies the behaviour of the economic system as a whole or all the decision-making units put together.

D) True or False (xiii – xv) (Note: Encircle the correct answer)

03

xiii. Goods which are owned by the society are called social wealth. (True) or (False)

xiv. Economic activities are conducted in the economy. The main economic agents are households, firms and the government. (True) or (False)

xv. Utility, Usefulness and pleasure mean the same. (True) or (False)

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BM102.1 FOUNDATION COURSE IN ECONOMICS (NEW)

Date: 27/03/2018, Tuesday

Time: 10.30 AM to 01.00 PM

Total Marks: 55

Note: - (i) All questions are compulsory.

(ii) This is a closed book examination.

(iii) There are two sections in the question paper. **Section – I** contains Q. No.: 1 of 15 marks and **Section – II** contains total five questions where in Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.

(iv) **Section – I** should be answered in the given question paper and **Section – II** should be answered in a separate answer book.

(v) Maximum time allotted for **Section – II** is 150 minutes.

(vi) Figures on the right indicate marks for each question.

SECTION – II

Q.2 “Micro-economics and Macro-economics supplement each other.” Elaborate the given statement in the light of difference between micro-economics and macro-economics. Also, explain the relationship between them. **10**

OR

Q.2 Explain different type of economic system in detail with advantages and disadvantages. **10**

Q.3 Explain any two factors of production in detail. **10**

Q.4 a. Explain the meaning of following with suitable examples: **05 10**

- i. Perfectly Inelastic Demand
- ii. Relatively Inelastic Demand
- iii. Unitary Elastic Demand
- iv. Relatively Elastic Demand
- v. Perfectly Elastic Demand

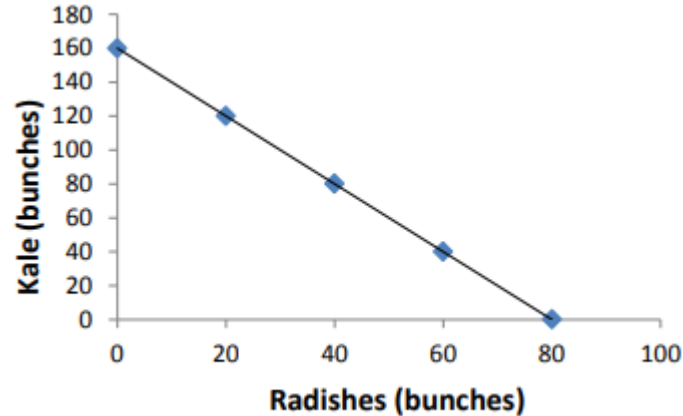
b. “Supply depends on many factors.” Explain the statement by discussing any 5 factors that affects supply with suitable examples. **05**

OR

Q.4 “In India, there is huge income inequality.” Elaborate the statement by defining income inequality and reasons for income gap in India. **10**

Q.5 “Control of inflation is very much necessary for an economy.” Explain the given statement by defining inflation and different measures taken by government to control inflation. **10**

Use the graph below to answer the following questions.



- i. If Alison is currently growing 80 bunches of kale per period, how many radish bunches is she growing? Assume that resources are fully utilized.
- ii. What is the opportunity cost of one bunch of radishes?
- iii. What is the opportunity cost of one bunch of kale?
- iv. If Alison is currently producing 30 bunches of radishes, what is the opportunity cost of producing another 20 bunches of radishes?
- v. Is it possible for Alison to produce 120 bunches of kale and 30 bunch of radishes?
- vi. If Alison is producing 60 bunches of radishes and 30 bunches of kale, is she fully utilizing her resources?
- vii. Is the opportunity cost of this PPF constant?
- viii. Identify the conditions when PPF shift outwards.